

22STCP03824 22STCP03824

County: los-angeles

Division: Civil Law and Motion

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Case Number: 22STCP03824 Hearing Date: July 13, 2026 Dept: 734

The

following tentative ruling is issued pursuant to Rule of Court 3.1308 at 2:52 PM on July 10, 2026.

Rule

of Court 3.1308(a)(1) provides that a “tentative ruling will become the ruling of the court if the court has not directed oral argument by its tentative ruling and notice of intent to appear has not been given.”

The

Court does not desire oral argument on the motion addressed herein. Notice of intent to appear is REQUIRED pursuant to California Rule of Court 3.1308(a)(1).

No

later than 4:00 p.m. on July 10, 2026, the moving and opposing parties must provide notice to ALL OTHER PARTIES and the staff of Department 734 whether the party intends to (1) appear and argue the motion, or (2) submit to the tentative ruling.

Notice to Department 734 should be sent by

email to , with opposing parties copied on the email. The high volume of telephone calls to Department 734 may delay the Court's receipt of notice, so telephonic notice to 213-830-0776 should be reserved for situations where parties are unable to give notice by email.

This

is a dispute between cousins over valuation of shares of a family-owned business.

Defendants Patrick Gogerchin, individually and as Trustee

of The Patrick Gogerchin Family Trust, and Bianca Gogerchin Kaveh move for an order

trying first the issue of whether Plaintiff and Defendant agreed to a contract or whether no contract was agreed to.

Defendants Patrick Gogerchin, individually and as Trustee of The Patrick Gogerchin Family Trust, and Bianca Gogerchin Kaveh also move for summary judgment as to the operative First Amended Complaint.

TENTATIVE RULING

Defendants Patrick Gogerchin, individually and as Trustee of The Patrick Gogerchin Family Trust, and Bianca Gogerchin Kaveh's motion for an order that the issue of contract formation be tried first is DENIED.

Defendants Patrick Gogerchin, individually and as Trustee of The Patrick Gogerchin Family Trust, and Bianca Gogerchin Kaveh's motion for summary judgment is DENIED.

ANALYSIS

Motion Re: Order of Proof At
Trial

Plaintiff's Evidentiary Objections

Declaration
of Patrick Gogerchin

Nos. 1 – 4: SUSTAINED. Improper legal conclusions and/or speculation.

Declaration
of James Kilkowski

Nos. 1 – 5: SUSTAINED. Irrelevant to this motion.

Declaration
of Martin Jannol

Nos. 1 – 3: SUSTAINED. Irrelevant to

this motion.

Discussion

The

Court has reviewed the moving, opposing and reply briefs filed by the parties, but only addresses the points which the Court deems to be material to the disposition of this motion.

Defendants Patrick Gogerchin, individually and as Trustee of The Patrick Gogerchin Family Trust, and Bianca Gogerchin Kaveh move for an order trying first the issue of whether Plaintiff and Defendant agreed to a contract or whether no contract was agreed to. Contrary to Plaintiff's argument, this is not a disguised motion for summary judgment, as Defendants are not asking at this time for a ruling on the merits as to whether a contract was in fact formed.

Civ. Proc. Code, § 598 provides:

The court may, when the convenience of witnesses, the ends of justice, or the economy and efficiency of handling the litigation would be promoted thereby, on motion of a party, after notice and hearing, make an order, no later than the close of pretrial conference in cases in which such pretrial conference is to be held, or, in other cases, no later than 30 days before the trial date, that the trial of any issue or any part thereof shall precede the trial of any other issue or any part thereof in the case, except for special defenses which may be tried first pursuant to Sections 597 and 597.5. The court, on its own motion, may make such an order at any time. . . .

(Civ. Proc. Code, § 598.)

Civ. Proc. Code, § 1048 provides:

(a) When actions involving a common question of law or fact are pending before the court, it may order a joint hearing or trial of any or all the matters in issue in the actions; it may order all the actions consolidated and it may make such orders concerning proceedings therein as may tend to avoid unnecessary costs or delay.

(b) The court, in furtherance of convenience or to avoid prejudice, or when separate trials will be conducive to expedition and economy, may order a separate trial of any cause of action, including a cause of action asserted in a cross-complaint,

or of any separate issue or of any number of causes of action or issues, preserving the right of trial by jury required by the Constitution or a statute of this state or of the United States.

(Civ. Proc. Code, § 1048.)

The trial court had ample authority to make this discretionary decision. Aside from the language in Code of Civil Procedure section 598, which concerns pretrial motions, Evidence Code section 320 provides that “[e]xcept as otherwise provided by law, the court in its discretion shall regulate the order of proof.” Similarly, Code of Civil Procedure section 1048, subdivision (b) states that a trial court, “in furtherance of convenience or to avoid prejudice, or when separate trials will be conducive to expedition and economy, may order a separate trial of any cause of action . . . or of any separate issue or of any number of causes of action or issues” Under these provisions, trial courts have broad discretion to determine the order of proof in the interests of judicial economy. (*Buran Equipment Co. v. H & C Investment Co.* (1983) 142 Cal. App. 3d 338, 343-344 [190 Cal. Rptr. 878].)

(*Grappo v. Coventry Fin. Corp.* (1991) 235 Cal.App.3d 496, 503.)

This will be a non-jury trial, so jury considerations are not relevant here. There are five theories asserted in the Complaint, three of them revolve around contract formation—whether it be written, oral or implied-in-fact. However, in essence this motion only seeks to have formation of the breach of written contract claim tried first, and assumes that a finding that no written contract was ever formed will necessarily dispose of the other causes of action.

However, theories of recovery based on oral contracts and implied-in-fact contracts are separate from written contracts, and even if the Court finds that the parties did not enter into a written contract, the Court will still have to proceed to address Plaintiff's alternative theories of breach of oral contract and breach of implied-in-fact contract. “Pleading of alternative theories of relief on the same set of facts is, of course, quite proper and is often done (for example) where there is a legally recognized basis for recovery in both contract and tort.” (*Gebert v. Yank* (1985) 172 Cal.App.3d 544, 554.)

“An oral contract may be pleaded generally as to

its effect, because it is rarely possible to allege the exact words. (Citation omitted.)”
(Khoury
v. Maly’s of California, Inc.
(1993) 14 Cal.App.4th 612, 616.)

The existence and terms of an implied contract
are manifested by conduct. (Civ. Code, § 1621.) The distinction reflects no difference
in legal effect but merely in the mode of manifesting assent. (Citation omitted)
Accordingly, a contract implied in fact “consists of obligations arising from a
mutual agreement and intent to promise where the agreement and promise have
not been expressed in words.” (Citation omitted.)

(Retired Employees Assn. of Orange County, Inc. v. County
of Orange (2011) 52 Cal.4th 1171, 1178 [bold emphasis and underlining added].)

Moreover, a theory of false promise
does not require formation of a contract.

Since
plaintiff’s complaint sounds in tort rather than contract, its sufficiency must
be tested by the general rules of tort law. So tested, it adequately states a cause
of action for fraud and deceit. A plaintiff may recover for fraud when he shows
that by reason of a defendant’s misrepresentations he has sustained some pecuniary
damage or injury by reason of having been put in a position worse than he would
have occupied had there been no fraud. (Citation omitted.)

(R. D. Reeder Lathing Co. v. Cypress Ins. Co. (1970) 3
Cal.App.3d 995, 999.)

Cases involving fraud where property was not acquired
have limited damages to out-of-pocket losses. . . . [A] defrauded party may recoup
his out-of-pocket losses and expenditures in reliance on the fraud, but he may not
recover benefit-of-the-bargain damages (i.e., damages placing him in the economic
position he would have occupied had the representation been true), at least where
the recovery is not premised on a specific property actually acquired by the defrauded
party.

(Kenly v. Ukegawa (1993)
16 Cal.App.4th 49, 54.)

That is, the measure of tort damages would be Plaintiff's out-of-pocket loss, not benefit of the alleged contractual bargain.

Indeed, a finding that no express contract exists between the parties would not foreclose the possibility that an implied contract exists because they are not simply duplicative theories of recovery:

[T]here simply cannot exist a valid express contract on one hand and an implied contract on the other, each embracing the identical subject but requiring different results and treatment. (Citations omitted.)

(Tollefson v. Roman Catholic Bishop (1990) 219 Cal.App.3d 843, 855-856.)

Further, a declaratory relief claim is proper even if the judgment is in favor of Defendant. A cause of action is stated whether Plaintiff is entitled to declaratory relief in [his] favor or not. (Columbia Pictures Corp. v. DeToth (1945) 26 Cal.2d 753, 760 ["It is not essential, to entitle a plaintiff to seek declaratory relief, that he should establish his right to a favorable declaration."])

In this regard, the Court finds that trying the issue of contract formation first will not promote the convenience of witnesses, the ends of justice, or the economy and efficiency of handling the litigation. (Civ. Proc. Code, § 598.) Nor would it further convenience or avoid prejudice. (Civ. Proc. Code, § 1048.) The Court would end up trying all theories at once, which is contrary to bifurcating the issue of formation.

As such, the motion for an order that the issue of contract formation be tried first is DENIED.

Motion For Summary
Judgment

Plaintiff's Evidentiary
Objections

Declaration of Patrick Gogerchin

No. 1: SUSTAINED.

Improper legal conclusion.

No. 2: SUSTAINED.

Improper legal conclusion.

No. 3: SUSTAINED.

Speculation; irrelevant uncommunicated intent.

No. 4: SUSTAINED.

Speculation; irrelevant uncommunicated intent.

Declaration of Martin Jannol

Nos. 1 - 5: OVERRULED.

Not hearsay (legal effect of words spoken[1]);

not an offer to compromise offered to show liability (Evid. Code § 1152); relevant.

Declaration of James M. Kilkowski

Nos. 1 – 5: OVERRULED.

Responses to interrogatories may be considered but also explained on summary judgment.

Defendants' Evidentiary

Objections

Pursuant to Code Civ. Proc. § 437c(q),

the Court declines to rule on Defendants' evidentiary objections, as they are directed to evidence which the Court does not deem to be material to the disposition of this action. The Court found that Defendants did not shift the burden on summary judgment. As such, the Court did not need to consider Plaintiff's evidence.

Discussion

The Court has reviewed the moving, opposing and reply briefs filed by the parties, but only addresses the points which the Court deems to be material to the disposition of this motion. The Court also notes that Defendants filed a reply separate statement, which is a violation of Code Civ. Proc. § 437c(b)(4).

Defendants Patrick Gogerchin, individually and as Trustee

of The Patrick Gogerchin Family Trust, and Bianca Gogerchin Kaveh moves for summary judgment as to the operative First Amended Complaint. The Court notes that this motion was not brought as a motion for summary adjudication in the alternative. As such, the Court cannot grant summary adjudication if Defendants are not entitled to summary judgment:

The language in Code of Civil Procedure section 437c, subdivision (f) makes it clear that a motion for summary adjudication cannot be considered by the court unless the party bringing the motion duly gives notice that summary adjudication is being sought. (Citation omitted.) "If a party desires adjudication of particular issues or subissues, that party must make its intentions clear in the motion. . . ." (Citation omitted.) There is a sound reason for this rule: ". . . the opposing party may have decided to raise only one triable issue of fact in order to defeat the motion, without intending to concede the other issues. It would be unfair to grant a summary adjudication order unless the opposing party was on notice that an issue-by-issue adjudication might be ordered if summary judgment was denied." (Citation omitted.)

(Gonzales v. Superior Court
(1987) 189 Cal.App.3d 1542, 1545-46.)

The burden of proof imposed upon a party who seeks summary judgment under section 437c is substantial. Where, as here, a defendant is the moving party, its evidence submitted in support of the motion must either disprove at least one essential element of every cause of action of the plaintiff's complaint or prove an affirmative defense that would bar every cause of action of the complaint. (Frazier, Dame, Doherty, Parrish & Hanawalt v. Bocardo, Blum, Lull, Niland, Teerlink & Bell (1977) 70 Cal.App.3d 331, 338 [138 Cal.Rptr. 670]; Weil & Brown, Cal. Practice Guide: Civil Procedure Before Trial (Rutter 1989) § 10:125 rev. #1, 1989.)

Accordingly, if a properly noticed motion for summary adjudication (§ 437c, subd. (f)) is not also before the court and the defendant's proof leaves at least one plausible theory or basis of recovery unchallenged, the burden is not met and plaintiff's failure to oppose the motion is immaterial. (Conn v. National Can Corp. (1981) 124 Cal.App.3d 630, 639 [177 Cal.Rptr. 445]; Nazar v. Rodeffer (1986) 184 Cal.App.3d 546 [229 Cal.Rptr. 209]; Weil & Brown, supra, § 10:126 rev. #1, 1989.) That the plaintiff will

have the affirmative burden of proof at trial is of no consequence. (Security Pac. Nat. Bank v. Associated Motor Sales (1980) 106 Cal.App.3d 171, 179 [165 Cal.Rptr. 38]; Weil & Brown, supra, § 10:133 rev. #1, 1989.)

(Twain Harte Assocs. v. County of Tuolumne (1990) 217 Cal.App.3d 71, 79-80.)

As noted above,

Defendant only noticed a motion for summary judgment, not a motion for summary adjudication in the alternative. In this regard, the separate statement does not set forth any issues to be summarily adjudicated. As such,

the Court cannot parse and summarily adjudicate individual causes of action: summary judgment must be denied if Defendant does

not meet his initial burden of demonstrating the absence of any triable issue of material fact.

[10:28] Single material fact issue defeats

motion: The requirement that there be “no triable issue of material fact” means that summary judgment can be granted only where the essential facts are either conceded or beyond dispute. If there is one, single material fact in dispute, the motion must be denied. (A factual issue is material whenever its determination could make a difference to the disposition of the motion. See CRC 3.1350(a)(2); ¶ 10:270 ff.)

(Weil & Brown, et al., California Practice Guide: Civil Procedure Before Trial [¶ 10:28.][The Rutter Group June 2026 Update].)

Now, the Court

turns to Defendant's separate statement which appears to be directed to negating the existence of an express contract between the parties.

Defendant's

UFs Nos. 1, 11 & 12 are as follows:

1. Plaintiff has attached to his First Amended Complaint (“FAC”) as Exhibit “1” an email (“October 26 Email”), dated October 26, 2020, which allegedly memorializes the terms of the alleged contract between Plaintiff and Defendants.

[FAC, ¶127]

. . .

11. The FAC alleges that “[o]n or about October 25, 2020, Abbie and Patrick, on behalf of himself and as his sister Bianca’s agent, met at the Jonathan Club in Los Angeles to negotiate an agreement whereby Abbie, Patrick and Bianca agreed amongst themselves that Patrick and Bianca would each sell their entire ownership interest back to Power Co. and APB Broadway....” [FAC, ¶27]

12. According to Plaintiff, the agreements made during the meeting on October 25, 2020 were memorialized in Exhibit “1” to the FAC – a one page email also identified herein as the October 26th Email sent on October 26, 2020. [FAC, ¶27]

It is apparent that Plaintiff’s underlying theory could be that an oral agreement was reached by the parties at the aforementioned October 25, 2025 at the Jonathan Club. (1AC, ¶ 27) and the e-mail was an alleged memorialization of such agreement. (Id.: “Abbie and Patrick’s Agreement was memorialized in an email by Patrick to Abbie on or about October 26, 2020. A true and correct copy of Patrick’s writing is attached hereto as Exhibit 1 and incorporated by reference.”)

The memorandum is not the contract, but merely evidence of its terms; the oral agreement is the contract. Hence, an oral agreement may originally be subject to the bar of the statute [of frauds], but may become enforceable if a note or memorandum is subsequently made. (Citations omitted.)

(1 Witkin, Summary of Cal. Law (11th ed. 2026) Contracts, § 351.)

Defendant’s

UF Nos. 2 - 4 and 15 – 23 are as follows:

2. The October 26 Email leaves open and unagreed for future negotiations the price for Defendants’ stock in Powerco Products, Inc. (“Powerco”) and for Defendants’ interests in APB Broadway, LLC (“APB Broadway”).. [Exhibit “1” to the FAC]

3. The October 26 Email leaves open and unagreed for future negotiations the terms of any guarantee of Plaintiff’s deferred payment obligation for Defendants’ stock in Powerco and Defendants’ interests in APB Broadway. [Exhibit

"1" to the FAC]

4. The October 26 Email leaves open and unagreed for future negotiations the tax treatment of the payments to Defendants. [Exhibit 1 to the FAC]

. . .

15. The October 26th Email does not state the price: it states that "Form of payment (distribution vs. consulting payments etc.) to be determined later, price to be adjusted by appraiser to compensate for tax rate (cap gains v. ordinary income)." [Exhibit "1" to the FAC]

16. The October 26 Email does not state the amount of the monthly payments; it states that the monthly payment will be \$25k to \$35k monthly over 10 years. No specific, agreed amount is stated. [Exhibit "1" to the FAC]

17. The October 26 Email references a 10% downpayment and deferred payments over 10 years; it does not state whether the Defendants would transfer the 50% interests in Powerco and APB Broadway upon the payment of the downpayment or upon full payment of all monthly payments. [Exhibit "1" to the FAC]

18. The October 26 Email states that "[w]e need some sort of guarantees since we are stringing this thing out 10 years." The October 26 Email does not state the terms of the guarantees, such as who would be the guarantors, what the terms of the guarantees would be, and whether those guarantees would be secured or unsecured. [Exhibit 1 to the FAC]

19. Patrick and BG each owned 25% interests in each of Powerco and APB Broadway, 50% in total. PGDec, ¶14. Neither would sell their interests without the sale by the other. Id. Exhibit "1" fails to state whether a minority discount should be applied to each 25% interest (and multiplied by two to reach a sale price) or whether full 50% interests in Powerco and APB Broadway should be appraised without minority discount, Id. A minority discount greatly affects the price to be paid for the interests, by millions of dollars in this case. Id.

20. The October 26th Email does not state whether the deferred 10-year payment obligation would be secured by a perfected security interest in the interests transferred by Patrick and BG. [Exhibit "1" to the FAC]

21. The October 26 Email does not contain an attorney's fees provision in the event of a dispute between the parties. Patrick and BG would not have signed an agreement to sell their interests which did not contain an attorneys' fees provision. [Exhibit "1" to the FAC; PGDec, ¶15.

22. The October 26 Email does not contain a method of alternative dispute resolution, such as arbitration. Patrick and BG would not have signed an agreement to sell their interests which did not have a provision requiring alternative dispute resolution, such as arbitration. Exhibit "1" to the FAC; PGDec, ¶16] Plaintiff's Response and Supporting Evidence:

23. Exhibit "1" does not contain financial covenants for the protection of Patrick and BG which are ordinary and customary in a deferred payment transaction. 24. [Exhibit "1" to the FAC]

The Court notes that Plaintiff's breach of contract theories appear to be limited to Defendants' agreement to sell their respective interests in the Entities, not the Apartments:

38. Plaintiff

Abbie on the one hand and Defendants Patrick and Bianca, on the other hand, entered into a written contract—the Agreement discussed above and which Patrick confirmed and memorialized in writing (Exhibit 1), for Patrick and Bianca's to agree to sell their respective interests to the Entities and for Abbie to cast his vote to approve the transaction.

39. Abbie performed

all obligations required of him in accordance with the terms and conditions of the Agreement, except for those obligations he was prevented or excused from performing.

40. Plaintiff

Abbie is informed and believes, and based thereon alleges, that Patrick and Bianca breached the Agreement in that, inter alia, their appraiser failed to correctly determine the actual fair market value of Defendants' respective minority interests in Powerco and failed to affix a value to APB Broadway using generally accepted accounting principals [sic] ("GAAP") and to do so in accordance with prior agreements between Uncle Al, Abbie, Patrick and Bianca. Additionally, Patrick and Bianca failed to follow those actions provided under the Agreement to reconcile their disparate valuations as required. These breaches include, but are not limited to, Patrick and Bianca's appraiser failing to correctly value Defendants' interest in the Entities

due to the Sanli Errors, above.

41. Plaintiff

is informed and believes, and based thereon alleges, that as a direct and proximate result of the breach of the Agreement, Plaintiff has sustained substantial direct and individual damages. Unless a reasonable fair market value of Defendants' respective 25% minority interests in the Entities is determined using appropriate and reasonable valuation methodologies, the Agreement will be frustrate Patrick and Bianca from selling back their respective interests in Powerco and APB Broadway in accordance with the Agreement.

(1AC, ¶¶

38 – 41 [bold emphasis added].)

The

1AC appears to allege that the sale of Defendants' interest in the Entities was separate from the sale of the apartment portfolio:

Additionally,

Abbie and Patrick agreed that the Powerco and APB Broadway redemption of Patrick and Bianca's interests would not be contingent on a contemporaneous buyout of the family's apartment portfolio (See Exhibit 2).

(1AC, ¶ 22.)

As

such, the Court does not consider the terms pertaining to "Apartments" in the October 26, 2020 e-mail attached as Exh. 1 to the 1AC. The Court only addressed the terms pertaining to "Company" which states as follows:

1. Each party

selects an appraiser that the other party approves. An average of the two is the price. If after 2 appraisals either side is unhappy then we do 2 more appraisers (that the other party approves) and we do an average of the 4.

2. Abbie may elect

to include 14000 Broadway if he'd like in which case 2 broker opinions would be needed (same approval process as above). If either party is unhappy we can get 4 broker opinions and average them.

3. Once price

is concluded the payment terms are the following

4. 10% down, 25-35k

per month with a balloon at year 10 (interest free). A sale triggers full payment.

5. Form of payment

(distribution vs consulting payments etc) to be determined later, price to be adjusted by appraiser to compensate for tax rate (cap gains v. ordinary income)

6. We need some

sort of guarantees since we are stringing this thing out 10 years. Personal guarantee is preferred but if you have other ideas we can certainly talk about them.

Nothing

in the e-mail indicates that the agreement shall not be binding until a written agreement is executed.

The

appraisal procedure is sufficiently defined such that the price would be objectively determined by the average of up to two rounds of appraisals yielding four appraisals.

"The law in California is clear that so long as the price may be objectively determined, a contract in which the price is not expressed may nonetheless be enforced." (Carver v. Teitsworth (1991) 1 Cal.App.4th 845, 853.)

Notably,

the 1AC alleges at ¶¶ 29 – 35 that both Plaintiff and Defendant Patrick retained appraisers to value Defendants interests. The trier of fact (in this case, the Court) could find at trial that this demonstrated that both parties considered the oral agreement binding with regards to ascertaining the purchase price.

The parties' conduct subsequent to the formation of a contract,

"including the dispute which arises and the remedy sought," may be relevant in determining which terms they considered essential. (Citations omitted.) However, few contracts would be enforceable if the existence of subsequent disputes were taken as evidence that an agreement was never reached.

(Patel v. Liebermensch (2008) 45 Cal.4th 344, 351-52 [bold emphasis added].)

The other side

of the coin is that the appraisal are not conclusive regarding contract formation:

[T]he failure to reach a meeting of the minds on all material points prevents the formation of a contract even though the parties have orally agreed upon some of the terms, or have taken some action related to the contract. (Citations omitted.)

(Banner Entertainment, Inc. v. Superior Court (1998) 62 Cal.App.4th 348, 359 [italics in original].)

The e-mail reflects that the parties agreed to the following payment terms: "10% down, 25-35k per month with a balloon at year 10 (interest free). A sale triggers full payment."

If no time is specified for the performance of an act required to be performed, a reasonable time is allowed. If the act is in its nature capable of being done instantly—as, for example, if it consists in the payment of money only—it must be performed immediately upon the thing to be done being exactly ascertained.

(Civ. Code § 1657.)

While the e-mail reserves for future agreement matters including form of payment, tax issues and guarantees, it is a question of fact as to whether the parties considered these terms to be so essential that the parties did not intend to enter into a binding agreement without agreeing upon such terms, and to enforce the agreement without such terms would be unfair. Likewise, as to the other terms which Defendant claims the parties did not agree upon—timing of transfer of interests, minority discount, security interest, attorney's fees and arbitration provisions, and financial covenants.

The general rule is that if an "essential element" of a promise is reserved for the future agreement of both parties, the promise gives rise to no legal obligation until such future agreement is made. (Citations omitted.) "The enforceability of a contract containing a promise to agree depends upon the relative importance and the severability of the matter left to the future; it is a question of degree and may be settled by determining whether the indefinite promise is so essential to the bargain that inability to enforce that promise strictly according to its terms would make unfair the enforcement of the remainder of the agreement. [Citations.] Where the matters left for future agreement are unessential,

each party will be forced to accept a reasonable determination of the unsettled point or if possible the unsettled point may be left unperformed and the remainder of the contract be enforced. [Citations.]" (Citations omitted.)

(Coleman Engineering Co. v. North American Aviation, Inc.
(1966) 65 Cal.2d 396, 405 [bold emphasis and underlining added].)

As for additional
terms not mentioned in the October 26, 2020 e-mail, these cannot be utilized to
avoid a meeting of the minds:

Accordingly, the decision is one of numerous others to the effect
that when the parties orally agree upon all the terms and conditions of an agreement
with the mutual intention that it shall thereupon become binding, the mere fact
that a formal written agreement to the same effect is to be prepared and signed
does not alter the binding validity of the oral agreement. (Citation omitted.) The
rule of such cases has been stated thus by Witkin: "Parties may engage in preliminary
negotiations, oral or written, in order to reach an agreement. These negotiations
ordinarily result in a binding contract when all of the terms are definitely understood,
even though the parties intend that a formal writing embodying these terms shall
be executed later." (Citation omitted.) Too, whether it was the intention
of the parties that such oral agreement should become binding eo instante
is to be determined by the trier of fact from the surrounding circumstances.
(Citation omitted.) Finally, justice and
fair dealing fully support the rationale of the above holdings as set forth in Clarke
v. Fiedler, supra, quoting from a New York case: "Any other rule
would always permit a party who has entered into a contract like this, through letters
and telegraphic messages, to violate it, whenever the understanding was that it
should be [*849] reduced to another written form, by simply
suggesting other and additional terms and conditions. If this were the
rule the contract would never be completed in cases where, by changes in the market,
or other events occurring subsequent to the written negotiations, it became the
interest of either party to adopt that course in order to escape or evade obligations
incurred in the ordinary course of commercial business. . . . If the parties did
not become bound in this case they cannot be bound in any case." (Citation
omitted.) The above statement may be considered to have been prophetically made
to fit the instant proceeding.

(Stephan v. Maloof (1969) 274 Cal.App.2d 843, 847-49 [bold
emphasis and underlining added].)

Moreover, some terms may be implied based upon the prior course of dealings between the parties—a principle particularly apt in this case involving relatives who had been doing business together for a while.

An actual negotiation regarding every term has never been required for the formation of a contract. The existence of mutual assent is determined by objective criteria, not by one party's subjective intent. The test is whether a reasonable person would, from the conduct of the parties, conclude that there was a mutual agreement. (Citations omitted.) There is no dispute that an oral contract was formed when Benco hired Reliable in August 1996, obligating Benco to pay for the hours worked at the stated price. Uncontroverted evidence demonstrated that pursuant to the parties' past practices Benco knew that the crane operator would present the Work Authorization and Contract to its on-site supervisor, who would approve the number of hours worked that day. This course of dealing, conducted over many years and numerous hirings, establishes that the oral agreement to hire included the terms contained in the Work Authorization and Contract. The parties' prior course of dealings may determine the meaning of a contract term or may add an agreed but unstated term. (Citations omitted.)

...

The trial court's conclusion in the instant case that it would be inappropriate to bind Benco to an indemnity agreement entered into after the accident occurred misses the mark. This is not a situation where the parties were contracting for the first time or where Reliable was inserting a new indemnity provision when none had existed before. The parties' consistent history of past dealings informs our interpretation of their agreement. The indemnity provision was implicit in the parties' oral agreement to hire, which predated the accident.

(Marin Storage & Trucking, Inc. v. Benco Contracting & Engineering, Inc. (2001) 89 Cal.App.4th 1042, 1050-51 [bold emphasis added].)

Defendants'

UF Nos. 13 and 14 are as follows:

13. Plaintiff's verified discovery responses definitively establish that there were no other agreements, either written or oral, other than the October 26th Email. [Plaintiff's Responses to Form Interrogatories attached as Exhibit "A"]

to the Declaration of James M. Kilowski ("JMKDec") attached hereto, Response 50.1(b)]

14. Plaintiff's verified discovery responses clearly state the terms of the October 26th Email have not been modified. [Plaintiff's Responses to Form Interrogatories attached as Exhibit "A" to the Declaration of James M. Kilowski ("JMKDec") attached Hereto, Response 50.1(d)]

However, responses to interrogatories do not have the same effect as deemed admissions:

Although requests for admissions are included in the Code of Civil Procedure among discovery procedures (Code Civ. Proc., § 2019.010, subd. (e)), they "differ fundamentally from other forms of discovery. Rather than seeking to uncover information, they seek to eliminate the need for proof. [Citation.]" (Citations [*736] omitted.)

As a general rule an admission is conclusive in the action as to the party making it. (Citations omitted.) Absent leave of court to amend or withdraw the admission, no contradictory evidence may be introduced. (Citations omitted) This is not always true for answers to interrogatories or deposition testimony. (Code Civ. Proc., §§ 2025.620, 2030.410; see, e.g., *Scalf v. D.B. Log Homes, Inc.*, supra, 128 Cal.App.4th at p. 1522 ["For summary judgment purposes, deposition answers are simply evidence ... considered and weighed in conjunction with other evidence. They do not constitute incontrovertible judicial admissions as do ... answers to requests for admissions" (citations omitted)]; *McLaughlin v. Sikorsky Aircraft* (1983) 148 Cal. App. 3d 203, 210 [195 Cal. Rptr. 764] [when expert testified at trial contrary to deposition testimony, opposing party allowed to bring in new expert].)

(*Murillo v. Superior Court* (2006) 143 Cal.App.4th 730, 735-736 [bold emphasis added].)

Moreover, responses to interrogatories may be explained in opposing summary judgment:

As they did in the trial court, the Hansens argue that since Mason's initial response to the interrogatory indicates she suffered damage in 1977, even under Bispo her claim is time barred as a matter of law. Relying on *D'Amico v. Board of Medical Examiners* (1974) 11 Cal.3d 1, 22 [112 Cal.Rptr. 786, 520 P.2d 10], and *Leasman v. Beech Aircraft Corp.* (1975) 48 Cal.App.3d 376, 382 [121 Cal.Rptr. 768], the Hansens contend no consideration should be given

to Mason's explanation of her response. We do not believe we are free to ignore Mason's explanation.

. . . [*546] . . .

In this case Mason's explanation of her initial response to the interrogatory, viewed in light of the whole record, is credible. As we have seen, Mason claims she was injured by a sexual relationship which allegedly began in 1983. Plainly the injuries caused by those relations could not have occurred in 1977, as she indicated in her initial interrogatory response. Thus if a trier of fact believes the relations began in 1983, the trier of fact could reasonably conclude that the initial interrogatory response was, as Mason explained in her declaration, a simple mistake.

In sum then, the summary judgment must be reversed because there is no evidence which establishes the date of Mason's injury within the meaning of section 340.5.

(Mason v. Marriage & Family Ctr. (1991) 228 Cal.App.3d 537, 545-46 [bold emphasis added].)

As such, Plaintiff's responses to interrogatories do not constitute binding admissions against Plaintiff.

Defendant's

UF Nos. 5 – 10 are as follows:

5. After October 26, 2020, counsel for Defendants and counsel for Plaintiff exchanged a lengthy email and three lengthy letters, one of which is dated November 3, 2020, a copy of which is attached as Exhibit "1" to the Declaration of Martin Jannol ("MJDec") filed concurrently herewith. [MJDec, ¶4]

6. After October 26, 2020, counsel for Defendants and counsel for Plaintiff exchanged a lengthy email and three lengthy letters, one of which is dated November 10, 2020, a copy of which is attached as Exhibit "2" to the MJDec. [MJDec, ¶5]

7. After October 26, 2020, counsel for Defendants and counsel for Plaintiff exchanged a lengthy email and three lengthy letters, one of which is dated December 2, 2020, a copy of which is attached as Exhibit "3" to the MJDec [MJDec, ¶6]

8. After October 26, 2020, counsel for Defendants and counsel for Plaintiff exchanged a lengthy email and three lengthy letters, one of which is dated December 15, 2020, a copy of which is attached as Exhibit “4” to the MJDec. [MJDec, ¶7]

9. The letter from Plaintiff’s counsel to Defendants’ counsel dated December 15, 2020, SSUF8, states explicitly that the transaction is contingent on the execution of definitive agreement(s): “14. Purchase Agreement. This transaction is contingent upon the execution of definitive agreement(s) consistent with this Letter of Intent and otherwise in a form mutually acceptable to the parties.” [Exhibit “4” to the MJDec, ¶14]

10. No definitive agreement, or even a letter of intent, was ever executed by Plaintiff and Defendants for the purchase and sale of Defendants’ stock interests in Powerco or Defendants’ interests in APB Broadway. [Declaration of Patrick Gogerchin (“PGDec”) filed concurrently herewith, ¶13]

While the statements of counsel following the parties’ negotiations is relevant to the parties’ intent, it is only a factual circumstance for the trier of fact to consider in determining whether the parties reached an agreement as to all material terms:

When it is clear, both from a provision that the proposed written contract would become operative only when signed by the parties as well as from any other evidence presented by the parties that both parties contemplated that acceptance of the contract’s terms would be signified by signing it, the failure to sign the agreement means no binding contract was created. (Citations omitted.) This is so even though the party later sought to be bound by the agreement indicated a willingness to sign the agreement. (Citation omitted.) On the other hand, if the respective parties orally agreed upon all of the terms and conditions of a proposed written agreement with the mutual intention that the oral agreement should thereupon become binding, the mere fact that a formal written agreement to the same effect has not yet been signed does not alter the binding validity of the oral agreement. (Citation omitted.)

Whether it was the parties’ mutual intention that their oral agreement to the terms contained in a proposed written agreement should be binding immediately is to be determined from the surrounding facts and circumstances of a particular case and is a question of

fact for the trial court. (Citations omitted.) Evidence as to the parties' understanding and intent in taking what actions they did take is admissible to ascertain when or whether a binding agreement was ever reached. (Citations omitted.)

(Banner Entertainment, Inc., supra, 62 Cal.App.4th at 358- [bold emphasis added].)

Just as one example, Defendants' counsel admits that he modified terms which Plaintiff and Defendant Patrick discussed, i.e., Defendant's counsel may have been modifying an already binding contract by introducing new terms:

b. The value of the Corporation will be determined by an appraisal process. Each side will pick an appraiser who shall have at least 5 years active appraisal experience. The appraisers will evaluate the Corporation on the basis of a third party, arms-length sale of the entire Corporation (and all of its business however structured). The appraisers shall have access to the books and records of the Corporation as agreed upon by the parties on a confidential basis. If the two appraisers are less than 10% apart, then the value will be the average of the two appraisals. If their appraisals are more than 10% apart, then the two appraisers will pick a third appraiser (with comparable experience). The third appraiser will review the two appraisals and decide which is closest to the correct value. The one chosen (i.e. most correct) will determine the value. The decision of the third appraiser will be binding and final. Please note that this process was modified by me based on my experience with these sorts of transactions. I felt that the method the two gentlemen had discussed was not optimum.

(Martin Jannol Decl., Exh. 1, November 3, 2020 e-mail [bold emphasis and underlining added].)_

On the other hand, the boilerplate statement in ¶ 14 of the proposed Letter of Intent dated December 15, 2020 sent by Plaintiff's counsel Elliot H. Stone to Defendants' counsel Martin B. Jannol, may be evidence of the parties intent that their October 25, 2025 oral negotiations at the Jonathan Club did not result in a binding oral agreement:

14. Purchase Agreement. This transaction is contingent upon the execution of definitive agreement(s) consistent with this Letter of Intent and otherwise in a form mutually acceptable to the parties.

However, this
is only a factor for the trier of fact to consider as to contract formation at trial.

As for Defendant's
argument that the alleged contract is too indefinite to be enforced, this is part
of the foregoing inquiries, and thus Defendant has not negated the existence of
a triable issue of material fact in this regard:

Where a contract is so uncertain and indefinite that the intention
of the parties in material particulars cannot be ascertained, the contract is void
and unenforceable. [Citations.] “Although the terms of a contract need not be stated
in the minutest detail, it ... must evidence a meeting of the minds upon the essential
features of the agreement.”“ (Citation omitted.) Whether a term is material or
essential “depends on its relative importance to the parties and whether its absence
would make enforcing the remainder of the contract unfair to either party.” (Citations
omitted.)

In determining whether there is mutual consent, the court will
often consider extrinsic evidence and resolve a question of fact. (Citations omitted.)
But where, as here, the facts are not in dispute, whether there is mutual consent
is a question of law, and we review the court's ruling de novo. (Citations omitted.)

(Santana v. Studebaker Health Care Center, LLC (2026)
120 Cal.App.5th 1, 12.)

In light of
the foregoing, the Court finds that Defendants have not met their initial burden
of demonstrating that no triable issue of material fact exists as to the first cause
of action for breach of written contract. This precludes summary judgment.

The burden of proof imposed upon a party
who seeks summary judgment under section 437c is substantial. Where, as here, a
defendant is the moving party, its evidence submitted in support of the motion must [*80] either
disprove at least one essential element of every cause of action of the plaintiff's
complaint or prove an affirmative defense that would bar every cause of action
of the complaint. (Citations omitted.)

Accordingly, if a properly noticed motion for summary
adjudication (§ 437c, subd. (f)) is not also before the court and the defendant's
proof leaves at least one plausible theory or basis of recovery unchallenged, the

burden is not met and plaintiff's failure to oppose the motion is immaterial.

(Citations omitted.) That the plaintiff will have the affirmative burden of proof at trial is of no consequence. (Citations omitted.)

(Twain Harte Assocs. v. County of Tuolumne (1990) 217 Cal.App.3d 71, 79-80 [bold emphasis and underlining].)

Further, even

if the Court were to find that no triable issue of material fact exists as to the breach of written contract claim, as noted above re: the motion to set order of proof at trial, theories of recovery based oral contracts and implied-in-fact contracts are separate from written contracts. Thus, even if the Court were to find at trial that the parties did not enter into a written contract, the Court will still have to proceed to address Plaintiff's alternative theories of breach of oral contract and breach of implied-in-fact contract. "Pleading of alternative theories of relief on the same set of facts is, of course, quite proper and is often done (for example) where there is a legally recognized basis for recovery in both contract and tort." (Gebert v. Yank (1985) 172 Cal.App.3d 544, 554.) Moreover, a theory of false promise does not require formation of a contract. Further, a declaratory relief claim is proper even if the judgment is in favor of Defendant.

Defendant does not adequately address these theories in the moving papers, nor even in the Reply, other than to attack the way these theories are pled.

As such, the motion for summary judgment is DENIED.

[1]

A well-established exception or departure from the hearsay rule applies to cases in which the very fact in controversy is whether certain things were said and not whether these things were true or false, and in these cases the words are admissible not as hearsay, but as original evidence. (Citation omitted.) Thus, written or oral utterances, which are acts in themselves constituting legal results in issue in the case, do not come under the hearsay rule. (Citation omitted.)

(Zuckerman v. Pac. Sav. Bank (1986) 187 Cal.App.3d 1394, 1404.)